more diamonds. We quickly found one to rival the fabled Kohinoor diamond in size.The fact that investment management was outside of Vanguard's mandate led me within months to develop a great idea that I had toyed with for years, which had even been suggested by the research I had done for my senior thesis, and in which I had written, mutual funds "can make no claim to superiority over the market averages." Before 1975 had ended, we had formed the world's first index mutual fund.

The idea was the essence of simplicity: The portfolio would simply hold all of the stocks in the Standard & Poor's (S&P) 500 Stock Index, based on their market weight, and would closely track its returns. Our index fund was derided for years, and was not copied until nearly a full decade had passed. The new fund, originally named First Index Investment Trust (now Vanguard 500 Index Fund), began with just $11 million of assets, and was dubbed "Bogle's Folly." But it proved its point. The first index fund gradually earned compound returns that were substantially higher than the returns earned by traditional equity funds, and would become the largest mutual fund in the world. Today Vanguard 500 is one of 82 index and virtual index mutual funds that constitute nearly $1 trillion of Vanguard's now-$1.3 trillion asset base.[3]

Thus, in the words of Psalm 118, "the stone that the builders rejected . . . became the chief cornerstone" of our new firm. But its birth was a mighty fragile thing. The argument that we were not overstepping our narrow initial mandate just squeaked past approval by the board of directors. The trick of the index fund, I contended, was that it didn't need to be "managed"; it would simply buy all of the stocks in the S&P 500 Index. But with this quasi-management step, we had edged into the second side—the investment side—of the triangle of essential fund services.

How to again expand our mandate to control the third and final side—the marketing function? Why, just find another diamond! And so we did. The idea was to eliminate the very need for distribution, abandoning the network of stockbrokers that had distributed Wellington shares for nearly a half-century, and instead relying not